Retirement plans overview

Planning your future

Which plan is right for you?

Northwestern Mutual financial representatives understand that needs vary when it comes to retirement benefits. Our representatives can help you determine the plan that is right for you with products from a company you can trust.

This guide is intended to help you, as an individual or business owner, understand the choices available when planning for retirement. We've gathered together important information related to some of the most popular types of individual and employer-sponsored retirement plans:

Take some time to review this information, keeping in mind that your financial representative is always available to help with any questions you may have.

EMPLOYER SPONSORED

- SEP IRA
- SIMPLE IRA
- 401(k)
- Individual 401(k)
- Profit Sharing
- Money Purchase Plan
- 403(b)
- 457(b)
- Defined Benefit/ Cash Balance

INDIVIDUAL

- Traditional IRA
- Roth IRA
- Roth Conversion IRA
- Traditional Rollover IRA

(REV 0125)

IRS rollover chart

Roll from	Roll to: Roth IRA	Traditional IRA	SIMPLE IRA	SEP IRA	Gov. 457(b)	Qualified Plan (pre-tax)	403(b) (pre-tax)	Designated Roth Account 401(k), 403(b) or 457 (b)
Roth IRA	Yes[2]	No	No	No	No	No	No	No
Traditional IRA	Yes[3]	Yes[2]	Yes[2,7] after 2 years	Yes[2]	Yes[4]	Yes	Yes	No
SIMPLE IRA	Yes[3] after 2 years	Yes[2] after 2 years	Yes[2]	Yes[2] after 2 years	Yes[4] after 2 years	Yes after 2 years	Yes after 2 years	No
SEP IRA	Yes[3]	Yes[2]	Yes[2,7] after 2 years	Yes[2]	Yes[4]	Yes	Yes	No
Governmental 457(b)	Yes[3]	Yes	Yes[7] after 2 years	Yes	Yes	Yes	Yes	Yes[3,5]
Qualified Plan1 (pre-tax)	Yes[3]	Yes	Yes[7] after 2 years	Yes	Yes[4]	Yes	Yes	Yes[3,5]
403(b) (pre-tax)	Yes[3]	Yes	Yes[7] after 2 years	Yes	Yes[4]	Yes	Yes	Yes[3,5]
Designated Roth Account 401(k), 403(b) or 457 (b)	Yes	No	No	No	No	No	No	Yes[6]

Source: Internal Revenue Service (IRS) 12/03/2024

[1] Qualified plans include, for example, profit-sharing, 401(k), money purchase, and defined benefit plans.

[2] Only one rollover in any 12-month period.

[3] Must include in income.

[4] Must have separate accounts.

[5] Must be an in-plan rollover.

[6] Any nontaxable amounts distributed must be rolled over by direct trustee-to-trustee transfer.

[7] Applies to rollover contributions after December 18, 2015. For more information regarding retirement plans and rollovers, visit Tax Information for Retirement Plans.

For more information regarding retirement plans and rollovers, visit www.irs.gov/retirement.

Traditional IRA deductibility rules for active participants in retirement plans

Depending on your tax-filing status, modified adjusted gross income (MAGI) limits and retirement plan participation, you may be eligible to deduct your full contribution, part of it or none of it. You may deduct the contribution for that year if you and your spouse:

- Are not participating in an employer-sponsored plan, OR
- Are participating in an employer-sponsored retirement plan, but your income falls below the lower figures in the following table. You are eligible for a prorated deduction if your income falls within the ranges cited below.

Tax-filing status	Tax year	Fully deductible if MAGI is:	Partially deductible if MAGI is:	No deduction if MAGI is:
Single (IRA owner is active plan participant)	2025	$79,000 or less	More than $79,000 but less than $89,000	$89,000 or more
Joint (IRA owner is active plan participant)	2025	$126,000 or less	More than $126,000 but less than $146,000	$146,000 or more
Joint (IRA owner's spouse, not IRA owner, is active plan participant)	2025	$236,000 or less	More than $236,000 but less than $246,000	$246,000 or more
Married filing separately (IRA owner or spouse is an active participant)	2025	$0	Less than $10,000	$10,000 or more

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	Traditional IRA	Roth IRA	Roth Conversion IRA	Traditional Rollover IRA
What is it?	The most basic IRA available. Offers deductible and non-deductible contributions and tax-deferred growth.	Offers non-deductible contributions to eligible individuals. Distributions are received income-tax-free provided at least 5 years have elapsed since the first year a Roth IRA contribution was made and certain conditions are met.	A special type of IRA used to convert traditional IRAs to Roth IRAs.	A common type of IRA used by individuals who want to continue their retirement savings after closing an employer-sponsored retirement account.
Who is eligible?	Individuals with compensation and no age limit** by the end of the year.	Individuals with compensation and whose modified adjusted gross income is within specific limits.	Any individual.	Individuals with distributions from an employer-sponsored plan.
What are the contribution guidelines for 2024?	Deductible contribution limits depend upon the individual's participation in an employer-sponsored plan and modified adjusted gross income, but cannot exceed 100% of compensation or $7,000, whichever is less. Additional "catch-up" contributions of $1,000 are allowed for people age 50 and over.	Contributions are not deductible. Maximum contributions depend upon the individual's modified adjusted gross income, but cannot exceed 100% of compensation or $7,000, whichever is less. Additional "catch-up" contributions of $1,000 are allowed for people age 50 and over.	Conversions are not deductible, and they are generally included in the individual's gross income. The 10% penalty does not apply. There is no limit on the conversion amount. Subsequent contributions to the Roth IRA are capped at $7,000. Subject to the same conditions as for Roth IRAs. Additional "catch-up" contributions of $1,000 are allowed for people age 50 and over.	Rollover contributions are not deductible, and they are not included in the individual's gross income. There is no limit on the initial rollover contribution amount. Subsequent contributions are capped at $7,000. Subject to the same conditions as for traditional IRAs. Additional "catch-up" contributions of $1,000 are allowed for people age 50 and over.
What are the distribution rules?	Withdrawals before age 59½ are subject to income tax and a 10% penalty. A penalty is not assessed if the withdrawal is for: a first time home purchase; qualified higher education expenses; disability or death; medical expenses; health insurance; substantially equal periodic payments; an involuntary distribution or qualified reservist distributions. Distributions must begin by April 1 of the year following the year the individual reaches age 73. Distributions are generally based upon life expectancy as determined by the Uniform Table.*	Contributions are distributed on a first-in, first-out basis. Contributions may be withdrawn at any time and are free from tax and penalty. Distribution of earnings before age 59½ are subject to both income tax and a 10% penalty, except if distribution satisfies two requirements: 1. The amount must not be distributed within the five-taxable-year period beginning with the first year for which a contribution is made to a Roth IRA. 2. The amount must be distributed: a) On or after the date on which the owner attains age 59½; b) To the beneficiary after the death of the owner; c) After the owner becomes disabled; or d) The distribution meets requirements for a first-time homebuyer expense, $10,000 lifetime maximum. Distributions are not mandatory at any age.*	Conversions are distributed on a first-in, first-out basis. A conversion amount that is distributed before the applicable five year period ends is subject to a 10% penalty (but not federal income tax) to the extent that the conversion contribution is includible in gross income. However, there are some exceptions. Contributions may be withdrawn at any time and are free from tax and penalty. Distribution of earnings before age 59½ are subject to both income tax and a 10% penalty, except if distribution satisfies two requirements: 1. The amount must not be distributed within the five-taxable-year period beginning with the first year for which a contribution is made to a Roth IRA. 2. The amount must be distributed: a) On or after the date on which the owner attains age 59½; b) To the beneficiary after the death of the owner; c) After the owner becomes disabled; or d) The distribution meets requirements for a first-time homebuyer expense, $10,000 lifetime maximum. Distributions are not mandatory at any age.*	Withdrawals before age 59½ are subject to income tax and a 10% penalty. A penalty is not assessed if the withdrawal is for: a first time home purchase; qualified higher education expenses; disability or death; medical expenses; health insurance; substantially equal periodic payments; an involuntary distribution or qualified reservist distributions. Distributions must begin by April 1 of the year following the year the individual reaches age 73. Distributions are generally based upon life expectancy as determined by the Uniform Table.*
When must contributions be made?	The account must be set up and contributions made by April 15 to qualify for the previous tax year.	The account must be set up and contributions made by April 15 to qualify for the previous tax year.	The account may be established whenever the conversion from traditional IRA to Roth IRA is desired. In order for the conversion to be taxable in the current year it must be completed by 12/31.	You may initiate a direct rollover or to avoid income taxation, the account must be set up and contributions made within 60 days of receiving the distribution from the employer-sponsored account. Only one 60 day rollover is allowed in a 12 month period.

* This information is not intended as legal or tax advice. Your attorney or accountant should always be consulted about such matters.

** No age limit – Taxpayers working after reaching age 73 can make a deductible contribution to a Traditional IRA even as they start taking Required Minimum Distributions. Deductible contributions made after age 73 reduce any distribution excluded from income as a qualified charitable distribution. Effective for tax years after 2019.

Contribution and benefit dollar limits summary

Type of dollar limitation	2025	2024
401(k), 403(b), 457 and SARSEP elective deferrals	$23,500	$23,000
401(k), 403(b), 457[1] and SARSEP catch-up[3] (age 50+)	$7,500	$7,500
Secure 2.0 Act: Higher Employee Catch-up (401(k), if age 60-63)	$11,250	
Defined benefit plans	$280,000	$275,000
Defined contribution plans (includes SEP IRA)	$70,000	$69,000
401(a)(17) compensation	$350,000	$345,000
SIMPLE IRAs	$16,500	$16,000
SIMPLE Catch-up (age 50+)	$3,500	$3,500
Secure 2.0 Act: Higher Employee Catch-up SIMPLE (if age 60-63)	$5,250	
SEP coverage	$750	$750
Traditional or Roth IRA[2]	$7,000	$7,000
Traditional or Roth IRA catch-up[2]	$1,000	$1,000
Highly compensated employee	$160,000	$155,000
Key employee officer threshold	$230,000	$220,000

These dollar limits stand for the total annual amount you or you and your employer can contribute to the retirement plan where applicable.

Several additional factors may also affect the amount of contributions to an IRA or qualified retirement plan by you or your employer. Consult your tax advisor for additional information.

[1] Governmental plans only.

[2] Traditional and Roth IRAs are individually-sponsored retirement plan accounts and are not funded by employer contributions but rather by individual contributions. For additional Traditional and Roth IRA contribution and deduction limitations, consult your tax advisor.

[3] Additional catch-up contributions may be available to certain 403(b) and 457(b) plan participants who have under-contributed to the plan.

SEP IRA	
What is it?	A simplified employee pension plan in which an employer makes contributions into IRAs set up by or for eligible employees.
Suitable for	Any employer, corporation, LLC, partnership or self-employed individuals or small business owners and their employees seeking a plan with minimal IRS filings and paperwork.
Obligation to contribute	Employees: None Employer: Contributions are discretionary, flexible and deposited directly into employee IRAs. They must be uniformly calculated across all eligible employees or satisfy integration rules.
Employer contributions/ top heavy	Maximum employer deductible contribution equals 25% of total gross compensation of eligible participants. Contributions may not exceed the lesser of 25% of total gross compensation or $70,000 (indexed annually). Maximum compensation that may be considered is $350,000 (indexed annually). Special rules apply to the owners of nonincorporated businesses. If top heavy, generally, employer must make a contribution of at least 3% of each non-key employee's salary.
Employee contributions/ catch-up provisions	Not applicable.
Employee eligibility	Maximums (may be reduced by plan): Age 21. Waiting period: 3 out of preceding 5 years. Earnings: at least $750 (employees need not be full-time to participate). Includes employees of any related employers and leased employees. No permitted exclusions except union and non-resident aliens with no US income. IRS Model 5305 – SEP does not permit concurrent plans.
Nondiscrimination requirements	Contributions must not discriminate in favor of HCEs. Employer contributions must generally bear a uniform relationship to total compensation up to $350,000 (indexed annually). May be integrated with Social Security, but maximum annual addition limit is reduced by excess compensation.
Vesting	Immediate. Account balances are 100% vested.
Distributions/ withdrawals	Withdrawals may be made immediately, subject to 10% penalty unless IRA owner is over age 59½. Exceptions apply for distributions made in substantially equal periodic payments, due to death or disability, for tax deductible unreimbursed medical expenses, medical insurance if unemployed, qualified higher education expenses or for the first time purchase of a home ($10,000 lifetime limit). Loans are not permitted. Required Minimum Distributions required at age 73.
Reporting/filing requirements	Employer must execute IRS Form 5305-SEP and provide a summary plan description or copy of plan document to employees. Issuer must provide disclosure statement and annual account statement to owner and Forms 5498 and 1099R to IRS.
Spousal consent rules	Not applicable.
Key benefits/ advantages	Minimal employer cost and administration. Plan can be established retroactively after employer fiscal year end (i.e. , by tax filing deadline). Flexible annual employer contributions.
Disadvantages	Easy for employer to overlook technical requirements. Plan must cover all employees and leased employees of all related employers. Employer must contribute equally for all eligible employees. Loans are not allowed.

Abbreviations to know: COLA Cost of Living Adjustment | **ERISA** Employee Retirement Income Security Act of 1974 | **RMD** Required Minimum Distributions | **HCE** Highly Compensated Employee | **SEP** Simplified Employee Pension | **SIMPLE** Savings Incentive Match Plan for Employees

SIMPLE IRA	
What is it?	An employer-sponsored plan in which employer and employees contribute to IRAs.
Suitable for	Any employer, corporation, LLC, partnership, or self-employed individual with no more than 100 employees (includes employees of related employers) earning at least $5,000 in the preceding year. Limited to calendar plan year, but first year may generally start as late as October 1.
Obligation to contribute	Employees: Elective deferrals. Employer: Either: a) 100% match up to a maximum of 3% of compensation; or b) a contribution of 2% for each eligible employee. 3% match may be reduced to 1% in 2 out of 5 years.
Employer contributions/ top heavy	Either: a) 100% match up to a maximum of 3% of compensation; or b) a contribution of 2% for each eligible employee. 3% match may be reduced to 1% in 2 out of 5 years. Maximum compensation that may be considered for determining the 2% non-elective contribution is $350,000 (indexed annually) (maximum compensation limit does not apply to the matching contributions). Employer contributions are generally tax deductible. Employers cannot maintain any other qualified plan, SEP or 403(b) plan. No top heavy testing.
Employee contributions/ catch-up provisions	Lesser of total gross compensation or $16,500 (indexed annually). Individuals age 50 and older during the year may make a $5,250 (indexed annually) catch-up contribution.
Employee eligibility	Employee who earned at least $5,000 in any 2 previous years; and employee is expected to earn at least $5,000 during the current year. Includes employees of any related employers and leased employees. No permitted exclusions except union and non-resident aliens with no US income.
Nondiscrimination requirements	Not applicable. Employer contributions limited to those described in "Obligation to Contribute" column. Employer and any related employers may not maintain another employer-sponsored retirement plan. Employee notices required prior to beginning of the plan year.
Vesting	Immediate. Account balances are 100% vested.
Distributions/ withdrawals	Withdrawals made during first two years of participation are subject to 25% penalty, thereafter 10%, unless participant is over age 59½. Exceptions apply for distributions made in substantially equal periodic payments, due to death or disability, for tax deductible unreimbursed medical expenses, medical insurance if unemployed, qualified higher education expenses or for the first time purchase of a home ($10,000 lifetime limit). Loans are not permitted. Required Minimum Distributions required at age 73.
Reporting/filing requirements	Employer must execute IRS Form 5304-SIMPLE or Form 5305-SIMPLE, notify eligible employees each year of right to participate, and obtain salary reduction agreement from each employee. Issuer must provide annual summary description to employer, annual account statement to employee and Forms 5498 and 1099R to IRS.
Spousal consent rules	Not applicable.
Key benefits/ advantages	Minimal employer cost and administration.
Disadvantages	Lack of flexibility in employer contributions. Lower contribution limits than some other qualified plans. Plan must cover all employees and leased employees of all related employers. Loans are not allowed.

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Retirement plans comparison (continued)

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401(k)	
What is it?	A popular retirement plan in which employees elect to have their employer contribute a portion of their compensation into the plan on a pre-tax or post-tax basis (Roth 401(k) deferral). Plan may also include an employer match and/or profit sharing contribution. The plan sponsor must hold the Roth 401(k) contributions separately from all other contributions. A plan sponsor may make a matching contribution with respect to Roth 401(k) contributions, but the match must be treated as a pre-tax contribution.
Suitable for	Any employer, corporation, LLC, partnership, or self-employed individual and their employees (state/local governmental cannot have a 401(k) unless in effect on May 6, 1986), Native American, rural cooperatives and Federal government may have 401(k).
Obligation to contribute	Employees: Elective deferrals (may be made as traditional pre-tax or Roth after tax) and voluntary after-tax contributions. Employer: May provide either fixed or discretionary matching contributions based on elective deferrals. May also provide discretionary profit sharing contribution unrelated to deferrals.
Employer contributions/ top heavy	Maximum employer deductible contribution equals 25% of total gross compensation of eligible participants. Deferrals fully deductible (not part of 25% limit). Participant annual addition limit is lesser of 100% of total gross compensation or $70,000 (indexed annually). Participants may make additional $7,500 (indexed annually) catch-up contribution. Maximum compensation that may be considered is $350,000 (indexed annually). If top heavy, generally employer must make a contribution of at least 3% of each non-key employee's salary. Special rules apply to owners of nonincorporated businesses.
Employee contributions/ catch-up provisions	Elective deferrals can be made as either Roth (after-tax) or Traditional (before-tax) and are limited to $23,500 (indexed annually). Traditional deferrals are excluded from taxable income, but subject to Social Security tax. Individuals age 50 and older during the year may make additional $7,500 (indexed annually) catch-up contribution. New for 2025, individuals aged 60-63 by the end of 2025 can contribute an additional $3,750 for a total of $11,250.
Employee eligibility	Maximum age and service requirement: the later of age 21 or one year of service (1000 hours worked during 12-month period / Under the SECURE Act, plans must also allow participation by long-term, part-time employees who work at least 500 hours in three consecutive years). Can require two years of service for employer profit sharing or non-safe harbor matching contributions if plan has 100% immediate vesting. Less restrictive provisions permitted; employees may be excluded by job category, subject to nondiscrimination testing.
Nondiscrimination requirements	Nondiscrimination testing is required. Design based safe harbors for plans without Qualified Automatic Contribution Arrangements (QACA): 1) 100% match on first 3%; 50% match on next 2% for each non-HCE; or 2) 3% nonelective contribution on first $350,000 (indexed annually). of compensation for each non-HCE. Design based safe harbors for plans with QACA: 1) 100% match on first 1%; 50% match on next 5% for each non-HCE; or 2) 3% nonelective contribution on first $350,000 (indexed annually) of compensation for each non-HCE. Nonelective not added by 12/01 would be 4% instead of the 3%. Alternative to safe harbor design: 1) rate of match cannot increase as deferral percent increases AND 2) total match at respective deferral percentage must be at least as much as under first safe harbor formula. Under either approach, match percentage for HCE cannot exceed that of non-HCE; maximum match 6% of compensation. Safe harbors are deemed not top-heavy and, if plan is part of a top-heavy aggregation group, will count toward satisfaction of top heavy minimums.
Vesting	Employee and employer safe harbor contributions are 100% vested for plans without QACA and are 100% vested after 2 years for plans with QACA. Employer non-safe harbor matching contributions can vest based on service: three-year cliff (100% after 3 years) or six-year graded (20% per year starting after 2 years, fully vested after 6 years).
Distributions/ withdrawals	Withdrawals allowed only at retirement, death, termination, age 59½ or for hardship, subject to 10% penalty unless participant is over 59½ (if active employee) or at least age 55 when he/she terminates. Hardship will be defined in the plan document and typically would result from medical expenses, eviction from a residence or foreclosure on a mortgage. Loans are permitted with certain limits. Required Minimum Distribution required at age 73 for 5% owners. For all other employees, Required Minimum Distribution applies at later of age 73 or retirement.
Reporting/filing requirements	Employer must execute plan document and trust. Plan administrator is responsible for full ERISA reporting and participant record-keeping, including IRS Form 5500.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	Flexibility. Ability to weight employer contributions to highly-paid employees. Vesting schedule permissible for employer contributions. Name recognition for employee recruitment. Matching employer contributions. Allows employee pre-tax contributions. Participant loans and withdrawals available. Ability to exclude some employees. Ability to make Roth-type contributions up to the calendar year 401(k) deferral limit regardless of income and eliminate taxable income on qualifying distributions.
Disadvantages	Possible ADP/ACP test and other nondiscrimination testing. Increased flexibility may result in increased complexity and expense.

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Individual 401(k)	
What is it?	A one-participant retirement plan covering a business owner with no employees, or that person and his or her spouse or business partner(s). This type of plan has the same rules and requirements as any other 401(k) plan.
Suitable for	Self-employed individuals or small business owners who want to maximize retirement savings and have no full-time employees other than a spouse.
Obligation to contribute	Employee: None Employer: None
Employer contributions/ top heavy	Maximum combined contribution limit (employee deferrals plus employer match) is 100% of employee's compensation not to exceed $70,000 (indexed annually); based on the first $350,000 (indexed annually) of compensation. Participants may make additional $7,500 (indexed annually) contribution. Maximum tax-deductible employer contribution is 25% of gross eligible payroll. Special rules apply to the owner(s) of nonincorporated businesses. No top heavy testing.
Employee contributions/ catch-up provisions	Elective deferrals can be made as either Roth (after-tax) or Traditional (before-tax) and are limited to $23,500 (indexed annually). Traditional deferrals are excluded from taxable income, but subject to Social Security tax. Individuals age 50 and older during the year may make additional $7,500 (indexed annually) catch-up contribution. New for 2025, individuals aged 60-63 by the end of 2025 can contribute an additional $3,750 for a total of $11,250.
Employee eligibility	Same as traditional 401(k) except that the business cannot have any employees other than the owner(s) and his or her spouse.
Nondiscrimination requirements	Generally, not applicable.
Vesting	Account balances are 100% vested.
Distributions/ withdrawals	Withdrawals allowed only at retirement, death, termination, age 59½ or for hardship, subject to 10% penalty unless participant is over 59½ (if active employee) or at least age 55 when he/she terminates. Hardship will be defined in the plan document and typically would result from medical expenses, eviction from a residence or foreclosure on a mortgage. Loans are permitted with certain limits. Required Minimum Distribution required at age 73 for 5% owners.
Reporting/filing requirements	Employer must execute plan document and trust. Form 5500-EZ is filed for plans that cover only the owner of the business (or the owner and spouse) or partners in a partnership (or partners and their spouses). Form 5500-EZ does not need to be filed if the assets of the plan are less than $250,000.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	Flexibility. Ability to save as both the employer and employee. Participant loans and withdrawals are available. Ability to make Roth-type contributions up to the calendar year 401(k) deferral limit.
Disadvantages	Restricted to self-employed individuals and their spouse or business partner.

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Profit Sharing	
What is it?	Retirement plan that allows an employer to make discretionary contributions each year based on company goals.
Suitable for	Any employer, corporation, LLC, partnership, or self-employed individual and their employees.
Obligation to contribute	Employees: Generally none unless part of a 401(k). Employer: Discretionary profit sharing contribution.
Employer contributions/ top heavy	Generally, discretionary employer contributions amount up to 25% of compensation, not to exceed $70,000 (indexed annually). Maximum tax-deductible employer contribution is 25% of total eligible payroll. Compensation limit is $350,000 (indexed annually). Integrated, age weighted and new comparability allocations permitted. If top heavy, generally, employer must make a contribution of at least 3% of gross compensation for all non-key employee participants. Special rules apply to the owner(s) of nonincorporated businesses.
Employee contributions/ catch-up provisions	Generally no employee contributions unless contains a 401(k) feature. Catch-up provisions are not applicable unless contains a 401(k) feature.
Employee eligibility	Maximum age and service requirement: the later of age 21 or one year of service (1,000 hours worked during a 12-month period). Can require two years of service if plan has 100% immediate vesting. Less restrictive provisions permitted; employees may be excluded by job category subject to nondiscrimination testing.
Nondiscrimination requirements	Plan cannot discriminate in favor of HCEs: testing applies.
Vesting	Employer contributions can vest based on service: 3 year cliff (100% after 3 years) or 6 year graded (20% per year starting after 2 years, fully vested after 6 years).
Distributions/ withdrawals	Withdrawals generally allowed at retirement, death or termination. Certain in-service withdrawals are permitted, subject to 10% penalty unless participant is over 59½ (if active employee) or at least age 55 when he/she terminates. Loans are permitted with certain limits. Required Minimum Distribution required at age 73 for 5% owners. For all other employees, Required Minimum Distribution applies at later of age 73 or separation from service.
Reporting/filing requirements	Employer must execute plan document and trust. Plan administrator is responsible for full ERISA reporting and participant record-keeping, including IRS Form 5500 filing.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	Flexibility. Ability to weight employer contributions to highly-paid employees. Contributions are strictly discretionary in case cash flow is an issue. Vesting schedule permissible. Participant loans available. Ability to exclude some employees. Can have other retirement plans.
Disadvantages	Only employer contributes to the plan unless a 401(k) feature is added. Requires nondiscrimination testing.

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Money Purchase Pension

What is it?	A retirement plan to which employers and employees make contributions based on a percentage of annual earnings in accordance with the terms of the plan.
Suitable for	Any employer, corporation, LLC, partnership, or self-employed individual and their employees.
Obligation to contribute	Employees: None. Employer: Must contribute the amount specified in the contribution formula; usually a percentage of pay.
Employer contributions/ top heavy	Maximum employer deductible contribution equals 25% of total gross compensation of eligible participants. If top heavy, generally, employer must make a contribution of at least 3% of gross compensation for all non-key employee participants.
Employee contributions/ catch-up provisions	Employee annual addition limit is lesser of 100% of total gross compensation of $70,000 (indexed annually). Maximum compensation that may be considered is $350,000 (indexed annually).
Employee eligibility	Any employee 21 years old with 1,000 hours of service per year for two or more years. May be less restrictive at employer's discretion.
Nondiscrimination requirements	Top heavy and nondiscrimination testing is required.
Vesting	With a one-year of service requirement vesting may be graded for a period up to seven years (if two years of service are required for eligibility, contributions must be 100% vested immediately.)
Distributions/ withdrawals	Withdrawals allowed upon severance from employment, death, disability and termination of plan or age 59½ if earlier. In-service withdrawal only permitted upon attainment of normal retirement age or generally prior to age 59½ if earlier. Required Minimum Distribution required at age 73 for 5% owners. For all other employees, Required Minimum Distribution applies at later of age 73 or separation of service.
Reporting/filing requirements	Employer must execute plan document and trust. Plan administrator is responsible for full ERISA reporting and participant record-keeping, including IRS Form 5500 filing.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	Moderate employer cost and administration. Participant loans available. Ability to exclude some employees. Can have other retirement plans.
Disadvantages	Fixed commitment contribution (but may change prospectively with proper notice). Requires nondiscrimination testing.

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403(b)	
What is it?	A retirement plan for certain public school employees, non-profit hospitals and employees of churches and tax-exempt charities and non-profits.
Suitable for	Employees of public schools and non-profit 501(c)(3) type of organizations, such as colleges, hospitals, libraries and churches.
Obligation to contribute	Employees: Elective deferrals may be made as traditional pre-tax or Roth after tax. Employer: May make contributions to the plan.
Employer contributions/ top heavy	Employer may match part or all of employee contributions. Maximum combined contribution limit (employee deferrals plus employer match) is 100% of employee's compensation not to exceed $70,000 (indexed annually); based on the first $350,000 (indexed annually) of compensation. Participants may make additional $7,500 (indexed annually) contribution. Tax deduction limits not applicable to tax-exempt employees. Top heavy is not applicable.
Employee contributions/ catch-up provisions	Employee annual addition limit is lesser of 100% of total gross compensation of $70,000 (indexed annually). Maximum compensation that may be considered is $350,000 (indexed annually). New for 2025, individuals aged 60-63 by the end of 2025 can contribute an additional $3,750 for a total of $11,250.
Employee eligibility	All employees must be eligible to participate, but the employer may exclude employees who normally work fewer than 20 hours per week and those who wish to defer less than $200 of salary during the year.
Nondiscrimination requirements	Employee deferrals exempt from normal nondiscrimination testing. Employer match subject to same nondiscrimination testing as for 401(k) match contributions. Other employer contributions subject to nondiscrimination testing.
Vesting	Employee and employer safe harbor contributions are 100% vested. Employer non-safe harbor matching contributions can vest based on service: three-year cliff (100% after 3 years) or six-year graded (20% per year starting after 2 years, fully vested after 6 years).
Distributions/ withdrawals	Withdrawals generally allowed only at retirement, death, termination, age 59½ or for hardship, subject to 10% penalty unless participant is over 59½ (if active employee) or at least age 55 when he/she terminates. Hardship generally defined using 401(k) definition. Loans are permitted with certain limits. Required Minimum Distributions required at age 73 for 5% owners. For all other employees, Required Minimum Distribution applies at later of age 73 or retirement.
Reporting/filing requirements	Employer must adopt a written plan. Programs funded in whole or in part with employer contributions must execute ERISA plan document and trust. Plan administrator is responsible for full ERISA reporting and participant record-keeping, including IRS Form 5500 filing.
Spousal consent rules	Applicable if nongovernmental employer makes contributions.
Key benefits/ advantages	Elective deferrals not subject to nondiscrimination testing. Participant loans and withdrawals available. Ability to make Roth-type contributions and eliminate taxable income on qualifying distributions. Final regulations eliminate life insurance, but prior policies grandfathered. Employer non-elective contributions may be made up to five years following severance. Special catch-up contributions may be available to employees with 15 years of service with certain organizations.
Disadvantages	Restricted to certain employer entities and limited funding vehicles.

Abbreviations to know: **COLA** Cost of Living Adjustment | **ERISA** Employee Retirement Income Security Act of 1974 | **RMD** Required Minimum Distributions | **HCE** Highly Compensated Employee | **SEP** Simplified Employee Pension | **SIMPLE** Savings Incentive Match Plan for Employees

457(b)	
What is it?	Governmental 457(b) retirement plans are only available to state and local government employees. Non-profit 457(b) plans are available to non-profit organizations.
Suitable for	Tax-exempt employers, including state and local governmental entities but not churches or church-controlled organizations or federal governmental entities, may cover employees and independent contractors.
Obligation to contribute	Employees: Elective deferrals. Employer: Generally none.
Employer contributions/ top heavy	Employer and employee contributions limited to $23,500 (indexed annually). Top heavy is not applicable.
Employee contributions/ catch-up provisions	Employees: Voluntary elective deferrals plus any employer contributions limited to $23,500 (indexed annually). Individuals age 50 or older during the year may make an additional $7,500 (indexed annually) catch-up contribution, if in a state or local governmental plan. Possible higher amounts if within 3 years of normal retirement and less than the maximum was contributed in prior years. New for 2025, individuals aged 60-63 by the end of 2025 can contribute an additional $3,750 for a total of $11,250.
Employee eligibility	Tax-exempt limited to select group of management or highly compensated employees. Governmental can be available to all employees.
Nondiscrimination requirements	Not applicable.
Vesting	Non-governmental remains the property of Plan Sponsor until distributed and subject to creditor claims. Governmental must be held in trust or annuity contracts.
Distributions/ withdrawals	Withdrawals allowed upon severance from employment, death, unforeseen emergency or plan termination. No tax penalty applies to any distribution. Required Minimum Distributions must begin April 1 of the calendar year following the year the individual reaches age 73 or the calendar year in which the individual retires.
Reporting/filing requirements	Not applicable.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	May double employee elective deferral limit. No nondiscrimination testing required. Participant and Roth loans only available in governmental plans.
Disadvantages	Restricted to tax-exempt and governmental employers.

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Defined Benefit/Cash Balance	
What is it?	A defined benefit retirement plan that provides a fixed pre-established benefit at retirement. A cash balance plan is a defined benefit plan that defines the benefit in terms of a stated account balance rather than a stated fixed benefit.
Suitable for	Any employer, corporation, LLC, partnership, or self-employed individual and their employees.
Obligation to contribute	Employees: Generally none. Employer: Must satisfy the minimum funding requirements or with 412(e)(3) (fully insured plans) make the necessary premium payments. Generally must pay PBGC premiums.
Employer contributions/ top heavy	Most common contribution formulas are percentage of pay, percentage of pay times years of service, integration with Social Security or cash balance formula. Contributions are determined by actuarial calculation for traditional defined benefit plan or by premium payments required under 412(e)(3). PPA increased maximum deductions for defined benefit plans and employers with both defined benefit and defined contribution plans. Maximum annual benefit is the lesser of 100% of participant's average compensation for participant's three highest paying years or $280,000 (indexed annually) for any one participant. If top heavy, benefits not less than 2% of non-key employee's average annual compensation times years of service, up to 20% of average annual compensation.
Employee contributions/ catch-up provisions	Not applicable.
Employee eligibility	Same eligibility requirements as a money purchase plan for employer contributions. Must also benefit the lesser of 50 employees or 40% of the employees (minimum 2 employees unless only one).
Nondiscrimination requirements	Plan cannot discriminate in favor of HCEs. May be subject to nondiscrimination testing depending upon plan provisions.
Vesting	DB plan: Can be either cliff after 5 years or graded with a maximum of 7 years unless top heavy, then must be no slower than DC schedule. Cash Balance: May use an immediate, cliff or graded vesting schedule with the maximum vesting schedule being 3 years.
Distributions/ withdrawals	Withdrawals allowed only at retirement, death, separation from service or disability subject to 10% penalty unless 59½. Required Minimum Distributions required at age 73 for 5% owners. For all other employees, Required Minimum Distribution applies at later of age 73 or retirement.
Reporting/filing requirements	Employer must execute plan document and trust. Plan administrator is responsible for full ERISA reporting and participant record-keeping, including IRS Form 5500 filing.
Spousal consent rules	Applicable to beneficiary designations.
Key benefits/ advantages	Ability to weight contributions to older, higher-paid employees. Better rewards longer-service employees. Ability to target to a level of post-retirement income. Deductible contributions may be higher than other retirement plans. Life insurance available. Ability to exclude some employees. Cash Balance plans may offer a lump-sum payout option that may be rolled over to an IRA upon termination from employment or retirement.
Disadvantages	Minimum funding required. Generally, required PBGC premiums. Employer assumes funding risk. May be difficult to communicate value of program to employees.

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